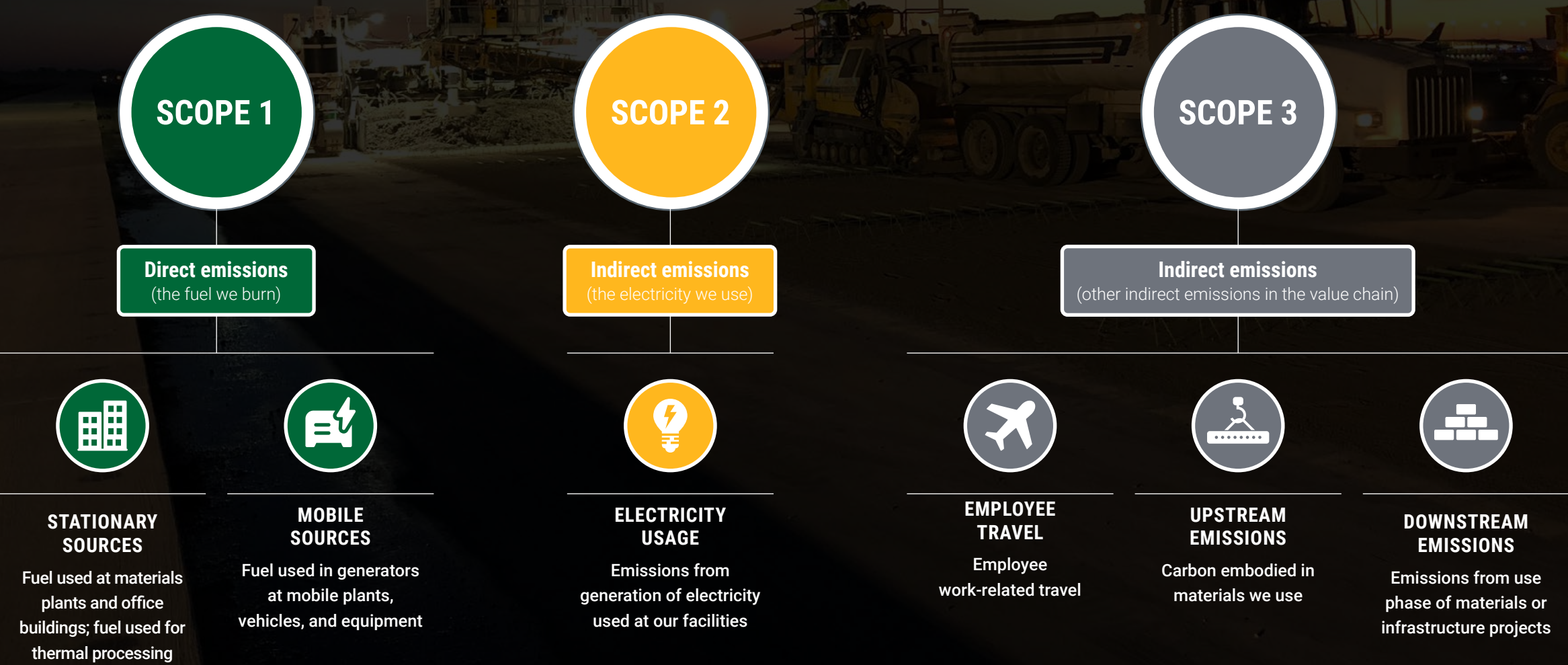


REDUCING EMISSIONS (CLIMATE & ENERGY)

The infrastructure construction industry currently relies on fossil fuels which directly contribute to pollution and greenhouse gas (GHG) emissions. Granite recognizes that our industry must adapt and change with the evolving needs of society and intends to drive that change by advancing more sustainable construction practices, reducing emissions, and reducing our reliance on fossil fuels.



WHAT IS IN OUR CARBON FOOTPRINT?



CLIMATE STRATEGY

Granite’s approach to reducing our emissions and carbon footprint is two-fold:

1. Improving data collection and reporting systems to quantify GHG emissions more accurately
2. Investing in technologies and practices that directly and immediately reduce our emissions in Scopes 1 and 2

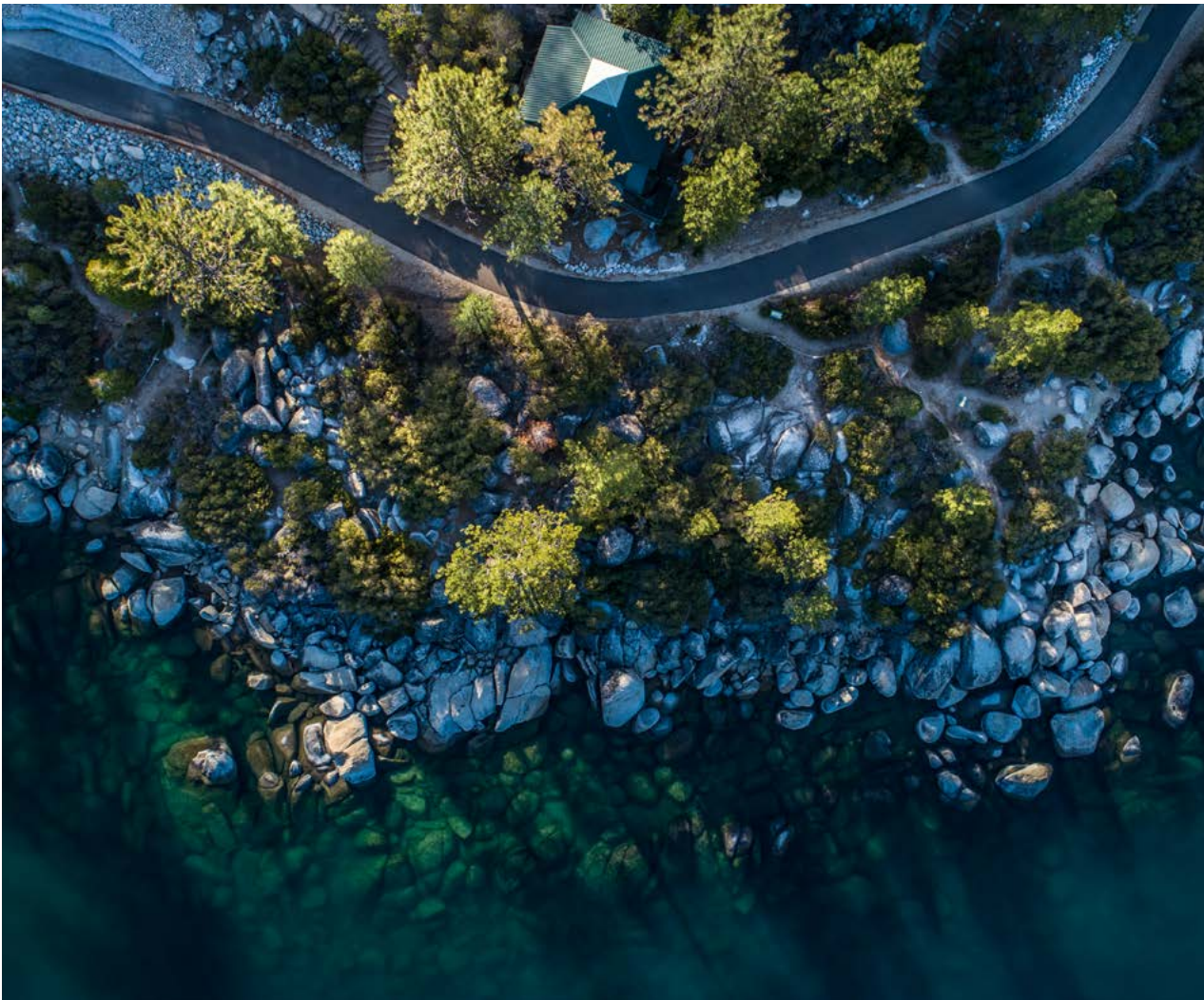
We are working on these two priorities simultaneously because we recognize the importance of minimizing our impacts as much as possible as quickly as possible.

As an overview, Granite’s current investments in technologies and practices that directly and immediately reduce our emissions include:

- Investing in fuel- and emissions-efficient equipment, including transitioning to hybrid technology construction equipment
- Participating in equipment upgrade programs allowing retirement of older and less efficient equipment
- Transitioning to the use of alternative fuels, resulting in immediate and direct air pollutant reductions

- Implementing the use of telematics in our vehicle and equipment fleet to improve fuel efficiency
- Using solar power at three of our construction materials facilities
- Utilizing lower impact processes at our asphaltic concrete plants, such as warm-mix asphalt production, which allows asphalt production at lower temperatures and consequently reduces fuel consumption
- Incorporating recycled products, such as recycled asphalt pavement and reclaimed asphalt shingles, in the production of construction materials (as permitted by specifications and product quality)

More information, including details on investments made and plant locations, is available in our [Supplemental Sustainability Update](#).



CARBON FOOTPRINT ASSESSMENT

Scope 1

2020 OBJECTIVE ASSESSMENT:

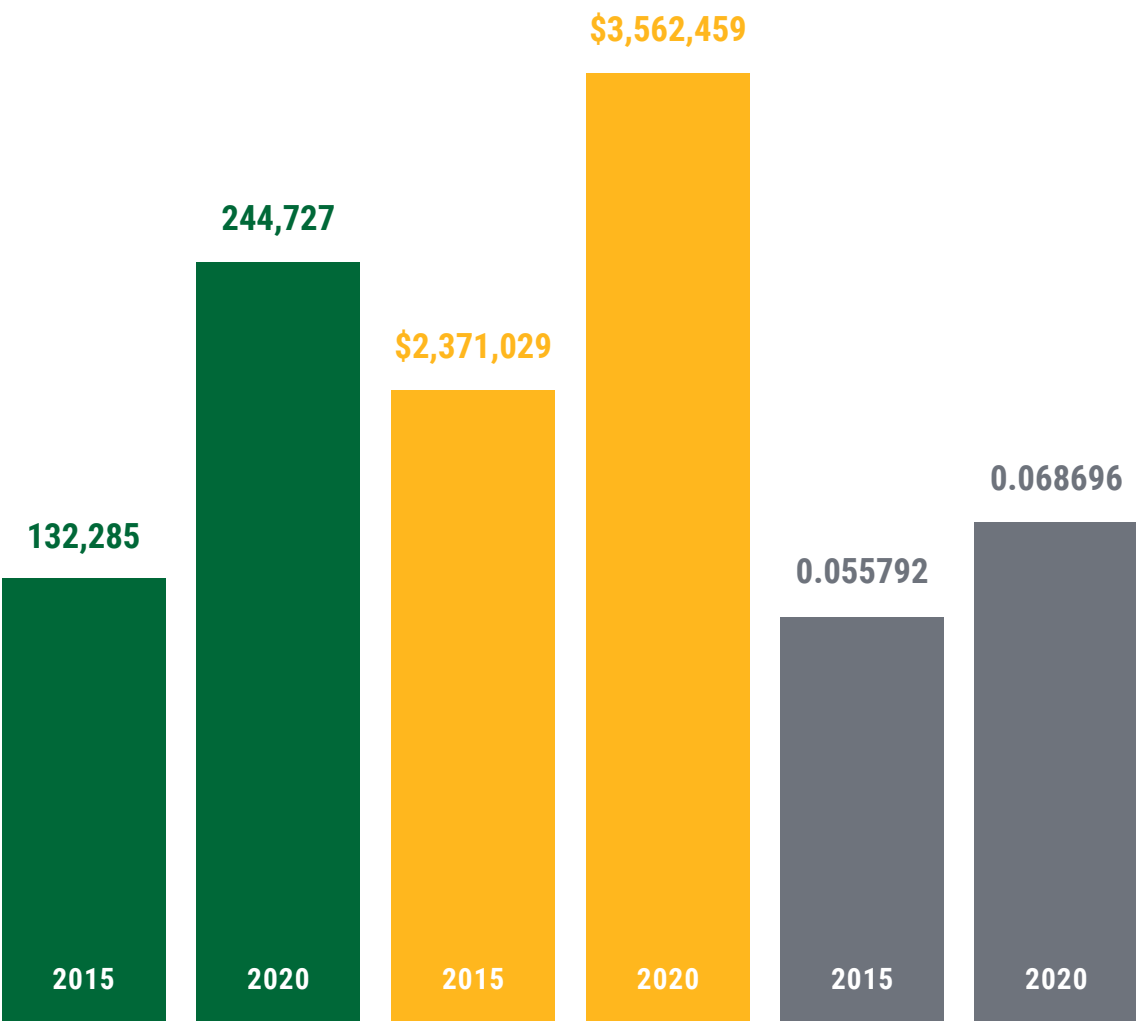
Our emissions are directly correlated to business volumes and fluctuations in each year, so our approach is to compare emissions as they relate to annual revenues. We shared our first Scope 1 assessment in our [2016 Sustainability Progress Report](#) and use the 2015 baseline therein to assess our progress. We did not meet our 2020 objective to reduce GHG emissions/fuel consumption associated with mobile fleet and asphalt plant operations by two percent year-over-year. Emissions increased in total and as normalized per revenue. This increase is primarily due to growth through acquisition, which increased the size of our fleet and shifted the balance of emissions as normalized by revenue in new markets.

Our Scope 1 assessment follows the Greenhouse Gas Protocol principles and methodologies established by the World Business Council for Sustainable Development, and includes carbon dioxide, methane, and nitrous oxide, reported in equivalent CO₂ (US tons) where available. The following emissions sources were included:

- Mobile sources (light-duty and heavy-duty vehicles/equipment and corporate jet)
 - Rental equipment is not included; however, some fuel consumption from rental equipment is included (dependent on agreements)
 - Calculations are based on bulk fuel combustion for CO₂ only; methane and nitrous oxide emissions factors for mobile equipment are not included due to data gaps; we are currently implementing a solution to address these gaps
- Inliner thermal processing (fuel used to heat water for liner curing process; includes CO₂ only)
- Asphalt plant production (includes CO₂ Equivalents)
- Granite-owned diesel generators (includes CO₂ Equivalents)
- Indoor heating of Granite-owned facilities where provided by fuel combustion (primarily natural gas; CO₂ only)

Baseline 2015 vs. 2020

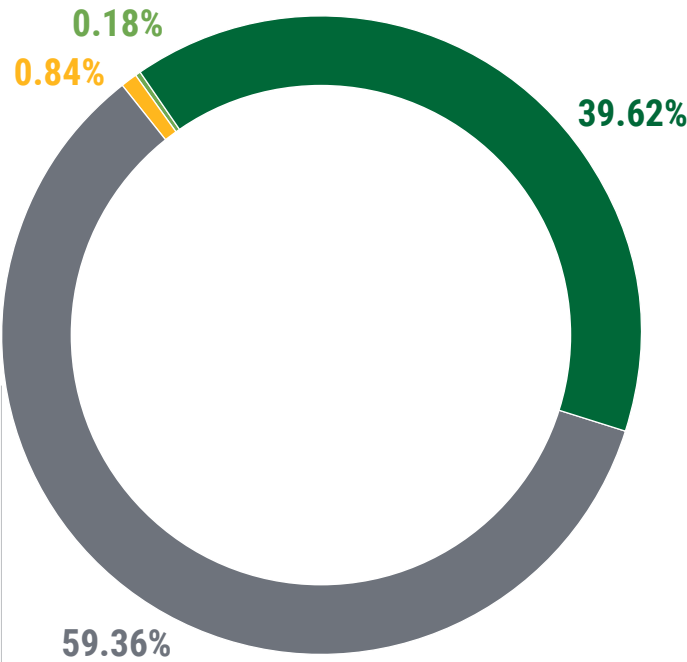
● Total Scope 1 CO₂ Equivalents (US Tons) ● Revenue (\$ Thousand) ● CO₂ Equivalents/\$ Thousand



Scope 1: Breakdown by Source

Scope 1 CO₂ Equivalents (US Tons) with % by Source

- Asphalt Plants: 96,953
- Equipment Fleet: 145,281.81
- Heating: 2,057.80
- Inliner Processing: 435



244,727.61

Total Scope 1

New Priority Target for GHG Reduction:
Reduce total Scope 1 GHG emissions by 25% by 2030 from 2020 baseline.

We intend to add Scope 2 to this target once we collect baseline data (for which a solution is currently being implemented). We also recognize that we may need to revise this target as we continue to develop our road map for emissions reduction.

Scope 2:

Scope 2 data on electricity use is not yet available. We are currently implementing a solution that will capture this information.

Scope 3:

Emissions from employee business travel (not including standard commuting) was calculated from data gathered from a company travel platform and then extrapolated to other travel based on purchasing card data. This information is based on estimates and includes CO₂ only (not equivalents).

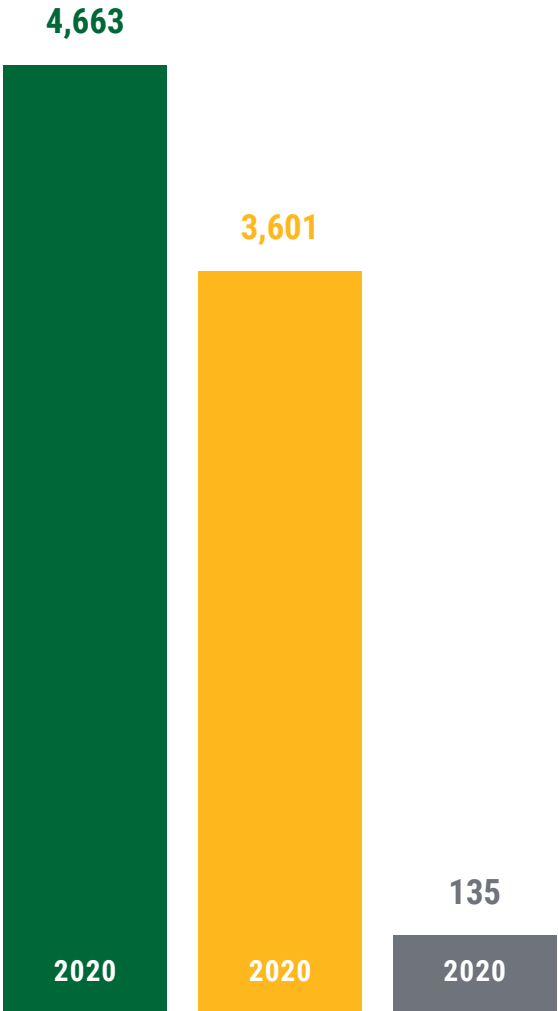
8,399

Travel: Total Estimated CO₂ Emissions

Scope 3: 2020 Employee Travel

Estimated CO₂ Emissions (US Tons)

- Air travel
- Hotel
- Car





Learn more about [sustainable practices](#) at our plants.

INVESTING IN CLEANER TECHNOLOGIES AT OUR PLANTS

Energy Efficiency

Since 2012, Granite has invested substantially in energy conservation technologies at our construction materials facilities. Key examples of such energy conservation improvements include:

- Installing on-site solar power at three plant locations
- Insulating piping and drums to prevent loss of energy, reducing fuel consumption and emissions
- Installing variable frequency drive technology to increase efficiency in plant operation, reducing electric power demand
- Replacing parallel flow drum plants with counterflow drum plants—counterflow plants allow more heat to be transferred from the burner to the finished asphalt product, increasing efficiency in heating and thus lowering fuel consumption
- Installing warm-mix asphalt systems to allow asphalt production at lower temperatures to reduce energy use—Granite was an early adaptor to drive this innovation and currently has 28 asphalt plants that have been retrofitted to produce warm-mix asphalt

- Optimizing recycled asphalt product content based upon finished product quality to reduce consumption of natural resources—all of Granite’s asphaltic concrete plants have recycled asphalt product systems

Battery Demand Management Systems

Battery demand management systems at Granite materials facilities reduce electrical costs and make the electrical grid more resilient by shifting demand from peak periods to periods with additional capacity. These systems charge a battery during periods of low demand (when power is cheaper). The power is stored on-site in batteries, and later consumed during periods of peak demand, reducing power drawn from the grid during peak demand. Software determines when to charge the batteries and when to use the power for plant equipment. Granite has five battery backup systems currently operating at materials facilities. Granite is currently planning to deploy battery systems in two additional facilities in 2021.

California has suffered major rolling blackouts, causing Pacific Gas & Electric (PG&E) to request more of their customers install these battery power-packs. In 2020, PG&E increased the incentives to install batteries by lowering power rates for customers with battery power-packs. Plants therefore benefit from a reduction in energy bills—allowing them to contribute to the resilience of the power grid while continuing to provide competitive pricing to our customers.